

Out-of-Pocket Maximum Accumulator Policy and Audit Process

Policy Number: POL-BEN-2024-015 | Category: Benefits Administration | Department: Claims

1. PURPOSE

This policy defines how Payer Co calculates, tracks, and reconciles out-of-pocket (OOP) maximum accumulators across plan years, including the process for identifying and correcting discrepancies between the Facets claims system and Cognos reporting.

2. OOP MAXIMUM DEFINITION

The annual OOP maximum is the most a member will pay for covered services in a plan year. After reaching the OOP maximum, Payer Co pays 100% of covered in-network costs.

Amounts that count toward OOP maximum:

- Deductible payments
- Copayments for covered services
- Coinsurance for covered services

Amounts that do NOT count toward OOP maximum:

- Premiums
- Out-of-network cost-sharing (for HMO plans)
- Non-covered services
- Balance billing from non-participating providers

3. ACCUMULATOR SOURCES OF TRUTH

Primary system: Facets claims administration system

- Updated in real-time as claims are adjudicated
- Member portal display is sourced from Facets

Secondary system: Cognos BI reporting (accumulator_report extract)

- Refreshed nightly via batch extract from Facets
- Used for audit reporting and regulatory filings
- Lag of up to 24 hours versus Facets real-time balance

4. KNOWN DISCREPANCY SCENARIOS

The following scenarios can cause Cognos to differ from Facets:

Scenario A - Adjusted Claims:

- Claim adjusted after nightly Cognos extract runs. Facets is correct; Cognos will reconcile on next nightly run.

Scenario B - Reversed Claims:

- Claim reversal processed same day as Cognos extract. Accumulator may be double-counted in Cognos until next reconciliation cycle.

Scenario C - Coordination of Benefits (COB):

- COB adjustments may reduce accumulated amounts retroactively.

Out-of-Pocket Maximum Accumulator Policy and Audit Process (continued)

5. ACCUMULATOR AUDIT PROCESS

The high-dollar claims audit pipeline flags members where:

$\text{abs}(\text{facets_accumulated} - \text{cognos_accumulated}) / \text{facets_accumulated} > 0.05$ (>5% variance)
OR $\text{facets_accumulated} > \text{oop_max_individual} * 0.90$ (within 10% of OOP cap)

Auditor workflow for each flagged member:

- Step 1: Review claim_history for 90-day window (use service_from_date)
- Step 2: Confirm claim_type filter: professional + institutional (exclude pharmacy)
- Step 3: Compare line-level allowed amounts to Cognos report rows
- Step 4: If discrepancy > \$100, escalate to Claims Adjustment team
- Step 5: Document finding in audit_decisions table with evidence record

6. 90-DAY LOOKBACK WINDOW DEFINITION

The 90-day lookback for accumulator validation uses SERVICE_FROM_DATE, not paid_date or processed_date. This is the regulatory requirement.

Date edge cases:

- If service spans multiple calendar years, split accumulation by plan year
- COB primary/secondary must be applied before accumulator comparison
- Late charges (billed > 90 days post-service) count toward service year

7. WRITE-BACK AUTHORIZATION

Accumulator corrections in Facets require:

- Supervisor approval for corrections > \$500
- Medical Director approval for corrections > \$5,000
- Regulatory filing for corrections affecting MLR calculation

Automated correction via the AI audit pipeline is NOT permitted.

The pipeline produces recommendations; human auditor executes correction in Facets.

8. REFERENCES

- ACA Section 1302(c) - Annual Limitation on Cost-Sharing
- CMS 2024 OOP Maximum Limits: Individual \$9,450 / Family \$18,900
- Payer Co Benefits Administration Manual, Chapter 7
- NAIC Model Accumulator Rule (adopted NY 2023)